on promotions," says a manager at a Bengaluru-based MNC. In a recent survey of around 500 tech clients, Randstad India reported that 4-5 per cent of them were on a hiring freeze and 2 per cent had adopted a strategic layoff plan. The rest, while slowing down on hiring, are in wait-and-watch mode.

Overall, however, some experts are of the opinion that India may be able to buck the global trend as the ongoing digital shift drives demand for tech talent. "We have seen layoffs as well as extensive hiring across levels to meet altered business goals," says Yeshab Giri, Chief Commercial Officer, Staffing & Randstad Technologies. Karanth of Xpheno reckons that India may still see around 600,000 jobs added this year. The rationale is that large IT services companies can't afford to stay away from the hiring market for more than two quarters as it would impact their talent supply chain and operations.

THE RECENTLY ANNOUNCED UNION BUDGET HAS OFFERED SOME RELIEF TO START-UPS WHILE ALSO KEEPING ITS FOCUS ON NEW-AGE SKILLS FOR EMPLOYMENT

The recently announced Union budget offered some relief to start-ups while also keeping its focus on new-age skills for employment. Start-ups have been provided with a one-year extension of tax benefits (up to April 2024) and can carry forward losses to 10 years from incorporation, as against seven years at present. The finance minister has also announced the setting up of open-source, digital public infrastructure for agriculture and an accelerator fund to encourage agri start-ups by young entrepreneurs in rural areas. Additionally, on the cards are a National Data Governance Policy, aimed at enabling access to anonymised data for start-ups and academia, and three centres of excellence for Artificial Intelligence (AI) to be set up in top educational institutions. Meanwhile, the redesigned government flagship skill development programme, Pradhan Mantri Kaushal Vikas Yojana 4.0, will cover courses for coding, AI, robotics, mechatronics, IoT, 3D printing and drones.

"The finance minister's announcements, especially in encouraging priority sectors and high-impact clusters, are encouraging. Centres of excellence in emerging technologies like robotics and AI will hopefully further fuel deep-tech startups," says Anand Sri Ganesh, Chief Operating Officer at IIM Bangalore's business incubator, NSRCEL. Ganesh, however, also points out that the budget did miss an opportunity to "ignite a dampening startup funding ecosystem, especially debt funding for asset-light and early-stage innovation".

Nonetheless, India's digital evolution, with growing internet penetration and the arrival of 5G technology, is expected to create ample employment opportunities, says Giri. Fields such as data analytics, data visualisation, data science, full stack development and cloud & DevOps will drive the demand for tech skills through 2023. "Having said that, with the growing demand for tech skills in a young and densely populated country like India, the job market is definitely going to be extremely competitive," Giri adds.

In any case, the Indian tech industry must not drop its guard as the storm clouds gather. ■

the capex on housing under PMAY, the thrust on urban infrastructure in Tier 2 and 3 cities in the budget will also generate considerable employment. "Infrastructure and construction are sectors that can create plenty of jobs. The sector that is most absorptive, outside of agriculture, is the construction sector," says D.K. Joshi, chief economist, Crisil. Tourism is another sector that has huge employment potential. Having taken a massive hit, like other contact-based industries such as hotels and restaurants, on account of the pandemic, it is beginning to slowly bounce back. The budget announced a plan to select 50 destinations across the country and pump money into improving infrastructure in these places, including incentives to build hotels and sites to boost domestic and foreign tourism and increase jobs in the service sector.

Budget 2023 also focuses on boosting rural employment, particularly in the agriculture and cooperative sectors. It has increased the agricultural credit target to Rs 20 lakh crore with a focus on the animal husbandry, dairy and fisheries sectors. The budget announced a new sub-scheme for the fisheries sector, the PM Matsya Sampada Yojana, with an investment of Rs 6,000 crore to improve value-chain efficiencies and expand the market for micro and small enterprises. For farmers, the budget set aside funds to set up massive decentralised storage capacity to incentivise horticultural growth and ensure remunerative prices for crops. Funds were also allocated for the setting up of multipurpose co-operative societies, primary fisheries societies and dairy cooperatives in uncovered panchayats and villages. Women self-help groups (SHGs) in rural areas received a boost as well, to enable women to return to the workforce in larger numbers. Satish Marathe, founder of Sahkar Bharti and director on the Reserve Bank of India board, says the incentives given to cooperatives will ease the lives of primary agriculture cooperatives by clearing several legacy issues. There is a network of 65,000 viable cooperatives covering all the villages in the country and 75 per cent households. "It not only increases the income in rural households, but also adds more jobs while reducing the pressure of migration on cities and towns," he says. Ashwani Mahajan, national co-convenor, Swadeshi Jagran Manch, appreciates the budget's thrust on rural economy and entrepreneurs. "The incentives for start-ups in the agriculture sector along with those using new-age technologies are encouraging," he says.